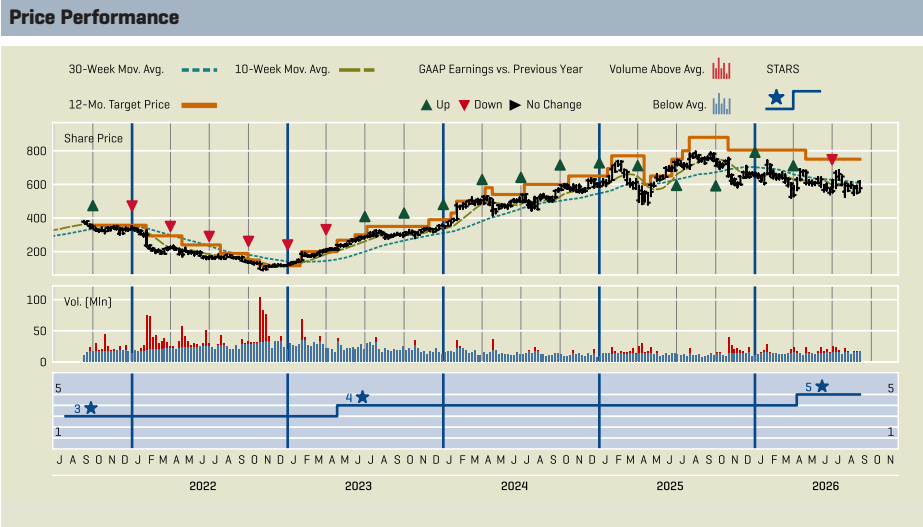


Recommendation	STRONG BUY ★★☆☆★	Price	12-Mo. Target Price	Report Currency	Investment Style
		USD 616.77 [as of market close Sep 04, 2026]	USD 750.00	USD	Large-Cap Growth

Equity Analyst **Angelo Zino, CFA**

GICS Sector	Communication Services	Summary	META operates the largest social networks in the world, including “core” Facebook, Messenger, Instagram, and WhatsApp, with more than 3B daily active people.
Sub-Industry	Interactive Media and Services		

Key Stock Statistics [Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports]					
52-Wk Range	USD 790.8 - 520.26	Oper.EPS2026E	USD 29.58	Market Capitalization[B]	USD 1555.71
Trailing 12-Month EPS	USD 29.62	Oper.EPS2027E	USD 38.72	Yield [%]	0.34
Trailing 12-Month P/E	20.82	P/E on Oper.EPS2026E	20.85	Dividend Rate/Share	USD 2.1
USD 10K Invested 5 Yrs Ago	16,416.0	Common Shares Outstg.[M]	2,548.00	Trailing 12-Month Dividend	USD 2.1
				Beta	1.24
				3-yr Proj. EPS CAGR[%]	12
				SPGMI's Quality Ranking	B+
				Institutional Ownership [%]	40.0



Source: CFRA, S&P Global Market Intelligence

Past performance is not an indication of future performance and should not be relied upon as such.

Analysis prepared by **Angelo Zino, CFA** on Aug 26, 2026 12:02 PM ET, when the stock traded at **USD 582.88**.

Highlights

- We forecast 28% sales growth in 2026 and high-teens growth in 2027-2028, outpacing the digital ad market. Growth driven by AI monetization levers showing traction, including Advantage+ generating over \$75B annual revenue run rate. Family of Apps “Other revenue” crossed \$1B in Q2 (+73% Y/Y), signaling non-ad monetization progress. Meta AI [1B monthly actives], Business Agents [1M businesses using weekly], and subscriptions are scaling effectively. AI algorithms drive above-industry performance with Instagram time spent growing double digits.
- Operating margin compressed to 31% from 43% as expenses surged 55% Y/Y to \$42B, driven by AI infrastructure depreciation, legal charges [\$2.4B], and severance [\$1.18B]. Capex doubled to \$31.1B, causing free cash flow to collapse to \$784M from \$8.55B. Management raised 2026 expense guidance to \$165B-\$169B and capex range to \$130B-\$145B.
- We maintain 2026 EPS at \$29.58 and 2027 at \$38.72. META reached ~\$18B settlement over youth safety, removing legal overhang. With structural cost discipline and 75,000 employees [down 3%], META positioned to grow operating income above 2025 levels despite suspended buybacks.

Investment Rationale/Risk

- Our Strong Buy reflects AI monetization traction, cost discipline, enticing valuation, and durable ad business. AI investments compress distance between infrastructure spend and returns. Muse Spark could start broader pipeline from Meta Superintelligence Labs while establishing competitive advantages in AI advertising. Potential monetization from AI agents, business subscriptions, and API access could diversify revenue beyond advertising over three to five years.
- Risks include macro slowdown from tariffs tightening budgets and sharp ad spend deceleration while META aggressively spends on AI. Legal headwinds intensify with youth trials scheduled for 2026. With free cash flow near zero and suspended buybacks, returns depend on capital appreciation, exposing stock to AI ROI sentiment shifts.
- We maintain \$750 target based on 19x 2027 EPS, below historical averages of 23x [three-year] and 22x [five-year]. Optimistic about digital ad shifts and non-ad revenue leveraging massive installed base. DCF supports target assuming 8.6% WACC and 4.5% terminal growth. Better AI growth provides upside; higher capex poses downside risk.

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
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Our risk assessment reflects changing technologies and tastes, considerable competitive threats, and legal and regulatory issues, partly offset by what we view as attractive global brands and platforms, robust free cash flow generation, as well as multiple monetization opportunities.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2027	E 67,382	E 71,799	E 75,431	E 87,984	E 302,596
2026	56,311	60,801	E 63,240	E 73,398	E 253,750
2025	42,314	47,516	51,242	59,893	200,966
2024	36,455	39,071	40,589	48,385	164,501
2023	28,645	31,999	34,146	40,111	134,902
2022	27,908	28,822	27,714	32,165	116,609

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2027	E 9.10	E 9.18	E 9.22	E 11.22	E 38.72
2026	7.31	6.18	E 7.36	E 8.73	E 29.58
2025	6.43	7.14	7.25	8.88	29.68
2024	4.71	5.16	6.03	8.02	23.86
2023	2.20	2.98	4.39	5.33	14.87
2022	2.72	2.46	1.64	1.76	8.59

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.5250	May 28	Jun 15	Jun 15	Jun 25 '26
0.5250	Feb 12	Mar 16	Mar 16	Mar 26 '26
0.5250	Dec 03	Dec 15	Dec 15	Dec 23 '25
0.5250	Sep 11	Sep 22	Sep 22	Sep 29 '25

Dividends have been paid since 2024 . Source: Company reports

Past performance is not an indication of future performance and should not be relied as such.

Forecasts are not a reliable indicator of future performance.

Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Business Summary Aug 26, 2026

Corporate Overview. Meta Platforms, Inc. is the world’s largest social media company and is a classic two-sided platform with an advertising-based business model. Individuals use its platforms for free, creating their own pages, linking with “friends,” attracting “followers,” posting/sharing content [text, photos, videos], and commenting on that content – all of which enables more precise targeting of ads relevant to users’ interests and more in-depth measurement and analysis of ad campaigns. Mark Zuckerberg founded Facebook in 2004 at Harvard with Eduardo Saverin, Andrew McCollum, Dustin Moskovitz, and Chris Hughes, inspired by building an online version of Harvard’s “face book” of student profiles.

META reports financial results for two segments: Family of Apps (FoA) and Reality Labs (RL). For FoA, META generates substantially all of its revenue from selling advertising placements to marketers. Ads on its platforms enable marketers to reach people based on a variety of factors, including age, gender, location, interests, and behaviors. Marketers purchase ads that can appear in multiple places, including on Facebook, Instagram, Messenger, and third-party applications and websites. RL generates revenue from sales of consumer hardware products, software, and content.

In 2012, META was the first social network to hit 1B monthly active users (MAUs). By the end of June 2025, META had about 3.5B DAPs, more than 40% of all humans, across its four social networks (Facebook, Messenger, Instagram, and WhatsApp), albeit with significant overlap.

META is not as acquisitive as its Big Tech peers, but two deals, Instagram in 2012 for \$1B and WhatsApp in 2014 for \$19B, had a major impact, becoming two of META’s four social networks. Another acquisition, Oculus in 2014 for \$2B, holds considerable potential as the leading consumer virtual reality platform.

AI Initiatives. META’s efforts in AI thus far are to support its content discovery platform by improving recommendations/ranking infrastructure that powers its entire ecosystem (Feed/Reels/ad system). Separately, META can monetize its next generation large language models, where it is now partnering with the likes of Microsoft and Amazon to make them available for both research and commercial use. Emerging AI opportunities with a longer tail also include introducing AI agents to billions of people, chat experiences in WhatsApp and Messenger, visual creation tools for posts on Facebook/Instagram and ads. We potentially see a lot of interest in AI agents for business messaging and customer support. On the hardware side, Ray-Ban META smart glasses have an exciting road map of software improvements ahead, starting with rolling out multimodal AI and then some other new AI features later in the year. Over time, AI initiatives will increasingly extend to the metaverse – helping to create avatars, objects, worlds, and code to tie them all together.

Regulatory Risk. META is facing significant legal setbacks, with juries in New Mexico and Los Angeles in Q1 2026 ruling against the company in cases related to child safety and mental health harm on its platforms. The New Mexico jury ordered META to pay \$375M in damages for misleading users about child safety, while the LA jury awarded \$6M in META/YouTube combined damages in a social media addiction case. While these financial penalties are modest, with META and GOOGL having the ability to easily navigate the financial repercussions, the verdicts set concerning precedents as numerous similar trials loom. The legal outcomes could prompt Congress to revisit Section 230 protections, potentially reshaping the regulatory landscape for social media platforms, though we expect the verdicts to be appealed.

META faces serious and intensifying regulatory risks that appear to be dovetailing with and fueled by a broader public backlash, especially in the U.S. In recent quarters, Zuckerberg himself commented that “we continue to see increasing legal and regulatory headwinds in the EU and the U.S. that could significantly impact our business and our financial results.”

Financial Trends. META’s product is the attention of its users, who are kept riveted by the royalty-free content those same users create. Therefore, despite regulatory risk, META is inherently a very profitable business, increasingly so with scale. Reality Labs is losing about \$20B (currently at an annual run rate), which should remain a headwind.

META’s spending plans imply a capital intensity level of more than 50% in 2026, up from 36% in 2025 and 24% in 2024 (20% in 2023), by far the highest among Big Tech companies. The proceeds will be used toward AI initiatives/increasing compute, while META also plans to grow its AI team. As one would expect, most investments are being leveraged toward building its AI infrastructure and, to a lesser extent, META’s longer-term initiatives toward the metaverse.

For years now, advertising has generated more than 95% of total revenue. However, when META completed its IPO in 2012, 16% of revenue came from third-party apps and games, almost all of which came from in-game purchases on Zynga’s social free-to-play game, FarmVille. We think it is important to note that META has demonstrated other monetization methods (e.g., “social” shopping, payments, subscriptions for specific groups or activities) given that it may need to diversify in response to governmental and social pressures. Nevertheless, META’s growth will likely be ad-based for years to come as it continues to ride the “big shift” of ad spend from traditional media (TV, radio, print) to online/mobile platforms. It was not until 2019 that global online/mobile ad revenue passed traditional media and represented over 72% of the total ad space in 2025.

META had total cash and equivalents [\$90B] along with non-marketable equity investments [\$30B] of nearly \$120B at the end of June 2026, along with about \$84B of debt. On February 1, 2024, META announced the initiation of its first-ever cash dividend program of \$0.50 per share [\$2.00 per share annually].

Corporate information

Investor contact N/A (650 543 4800)	
Office 1 Meta Way, Menlo Park, California, 94025	
Telephone 650 543 4800	
Fax N/A	
Website www.meta.com	
Officers	
Chief Technology Officer A. Bosworth	Chief Financial Officer S. S. Li
Chief Accounting Officer A. A. Anderson	Founder, Chairman & CEO M. E. Zuckerberg
Chief Legal Officer C. J. Mahoney	President & Vice Chairman D. Powell McCormick
Chief Operating Officer J. Olivan	
Board Members	
A. W. Houston	M. L. Andreessen
C. Songhurst	N. Killefer
D. White	P. Collison
J. D. Arnold	P. M. Alford
J. J. Elkann	R. M. Kimmitt
M. E. Zuckerberg	T. Xu
Domicile Delaware	Auditor Ernst & Young LLP
Founded 2004	
Employees 75,472	
Stockholders N/A	



Meta Platforms, Inc.

Quantitative Evaluations						
Fair Value Rank		1	2	3	4	5
		LOWEST		HIGHEST		
		Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].				
Fair Value Calculation	USD	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that META is overvalued by USD 5.21 or 0.84%				
	611.56					
Volatility	LOW		AVERAGE		HIGH	
Technical Evaluation	NEUTRAL	Since September, 2026, the technical indicators for META have been NEUTRAL"				
Insider Activity	UNFAVORABLE	NEUTRAL	FAVORABLE			

Expanded Ratio Analysis					
		2025	2024	2023	2022
Price/Sales		8.45	9.30	6.90	2.79
Price/EBITDA		16.68	18.04	16.06	7.70
Price/Pretax Income		19.77	21.66	19.62	11.28
P/E Ratio		22.24	24.54	23.80	14.01
Avg. Diluted Shares Outstg. [M]		2,574.00	2,614.00	2,629.00	2,702.00
Figures based on fiscal year-end price					
Key Growth Rates and Averages					
Past Growth Rate [%]			1 Year	3 Years	5 Years
Net Income			NM	37.61	15.71
Sales			22.17	19.89	18.51
Ratio Analysis [Annual Avg.]					
Net Margin [%]			30.08	32.32	30.05
% LT Debt to Capitalization			19.43	13.84	9.61
Return on Equity [%]			30.24	31.81	29.01

Company Financials Fiscal year ending Dec 31										
Per Share Data [USD]	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Tangible Book Value	74.71	63.56	51.44	39.98	38.32	38.12	28.56	22.61	18.67	13.35
Free Cash Flow	18.29	21.34	17.12	7.18	13.85	8.27	7.43	5.31	6.03	4.06
Earnings	23.49	23.86	14.87	8.59	13.77	10.09	6.43	7.57	5.39	3.49
Earnings [Normalized]	29.68	23.86	14.87	8.59	13.77	10.09	8.56	7.57	6.16	4.23
Dividends	2.10	2.00	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Payout Ratio [%]	8.81	8.13	NM	NM	NM	NM	NM	NM	NM	NM
Prices: High	796.25	638.40	361.90	343.44	384.33	304.67	208.93	218.62	184.25	133.50
Prices: Low	479.80	340.01	122.28	88.09	244.61	137.10	128.56	123.02	115.51	89.37
P/E Ratio: High	26.80	26.80	24.30	40.00	27.90	30.20	24.40	28.90	29.90	31.60
P/E Ratio: Low	16.20	14.30	8.20	10.30	17.80	13.60	15.00	16.30	18.80	21.10
Income Statement Analysis [Million USD]										
Revenue	200,966	164,501	134,902	116,609	117,929	85,965	70,697	55,838	40,653	27,638
Operating Income	83,276	69,380	46,751	33,555	46,753	32,671	28,986	24,913	20,203	12,427
Depreciation + Amortization	18,616	15,440	11,178	8,686	7,967	6,862	5,741	4,315	3,025	2,342
Interest Expense	1,165	715.00	446.00	185.00	23.00	N/A	N/A	N/A	6.00	10.00
Pretax Income	85,932	70,663	47,428	28,819	47,284	33,180	24,812	25,361	20,594	12,518
Effective Tax Rate	29.60	11.80	17.60	19.50	16.70	12.20	25.50	12.80	22.60	18.40
Net Income	60,458	62,360	39,098	23,200	39,370	29,146	18,485	22,112	15,934	10,217
Net Income [Normalized]	52,996	44,131	29,706	21,173	29,553	20,738	18,633	15,851	12,871	7,824
Balance Sheet and Other Financial Data [Million USD]										
Cash	81,592	77,815	65,403	40,738	47,998	61,954	54,855	41,114	41,711	29,449
Current Assets	108,722	100,045	85,365	59,549	66,666	75,670	66,225	50,480	48,563	34,401
Total Assets	366,021	276,054	229,623	185,727	165,987	159,316	133,376	97,334	84,524	64,961
Current Liabilities	41,836	33,596	31,960	27,026	21,135	14,981	15,053	7,017	3,760	2,875
Long Term Debt	58,744	28,826	18,385	9,923	N/A	N/A	N/A	N/A	N/A	N/A
Total Capital	302,324	231,697	190,402	152,304	138,752	138,944	111,378	84,627	74,347	59,194
Capital Expenditures	69,691	37,256	27,045	31,186	18,690	15,163	15,102	13,915	6,733	4,491
Cash from Operations	115,800	91,328	71,113	50,475	57,683	38,747	36,314	29,274	24,216	16,108
Current Ratio	2.60	2.98	2.67	2.20	3.15	5.05	4.40	7.19	12.92	11.97
% Long Term Debt of Capitalization	19.40	12.40	9.70	6.50	N/A	N/A	N/A	N/A	N/A	N/A
% Net Income of Revenue	30.10	37.90	29.00	19.90	33.40	33.90	26.10	39.60	39.20	37.00
% Return on Assets	16.21	17.15	14.07	11.93	17.97	13.95	15.70	17.12	16.89	13.58
% Return on Equity	30.20	37.10	28.00	18.50	31.10	25.40	20.00	27.90	23.90	19.80

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Meta Platforms, Inc.

Sub-Industry Outlook

We have a positive fundamental outlook for the Interactive Media & Services sub-industry over the next 12 months, reflecting improving digital advertising landscape and increasing opportunities to monetize AI investments. We expect revenue growth to remain healthy for social media participants GOOGL, META, SNAP, and PINS, with the bigger players seeing greater engagement and ad impression growth/pricing through AI integration and capabilities across platforms. While customer budgets remain relatively resilient and advertisers have increasingly focused on larger platform providers given their lead in AI innovation, we see greater competitive pressures from emerging ad-based-driven platforms [e.g., Netflix, OpenAI]. Still, we see AI supporting new ad revenue opportunities like ad-based placements within chat-based interactions [e.g., MetaAI, ChatGPT]. Increasing investments in Generative AI (GenAI) are improving content/recommendations and translating into a higher return on investment (ROI) for advertisers. We note that the second half of 2026 should benefit from the U.S. midterm elections.

We think Magna Global’s global digital ad spending outlook is attainable, forecasted to grow at a low teens pace in 2026 and 9% in 2027, a modest deceleration from the projected 13% increase in 2025 (+74% of total media ad spend) and 13%+ in 2024. Still, in the long term, we see an ongoing shift in total global advertising spend from traditional broadcast TV/radio and print media to internet/digital media. This shift is led by the increasing time consumers spend on internet/digital versus traditional media and by the superior ROI for advertisers due to more precise targeting, richer feedback, and a more efficient ad buying process that is mostly auction-based and increasingly programmatic.

GOOGL and META capture a majority of digital ad revenue, while AMZN has taken considerable share in recent years. We expect Search to represent the biggest piece of the digital ad pie, expected to represent about 49% of sales in 2026 with growth of about 10%. Social media platforms are

estimated to represent about 36% of digital ad revenue in 2026, which we see growing at a more attractive growth pace of 13%. We estimate that both Alphabet and Meta will outgrow these levels given incremental benefits from AI spend as well as initiatives outside of advertising [e.g., cloud, hardware].

Capital spending plans are rising at an incredible pace, with a sharply higher reset from both Meta Platforms and Alphabet in 2026, with both nearly doubling spend Y/Y. Both have ambitions to capitalize on the major revenue growth opportunities tied to the emergence of AI across existing and new markets.

We also underscore the tremendous profitability and substantial operating leverage inherent to the businesses in this sub-industry. We note the large adjacent markets into which GOOGL/META are expanding [e.g., GOOGL’s enterprise cloud services] or planning to expand [e.g., autonomous vehicles, drone delivery, payments]. The opportunity we see in this sub-industry is partially offset by the persistent threat of greater regulation regarding alleged antitrust violations, child safety/social media addiction, and data privacy.

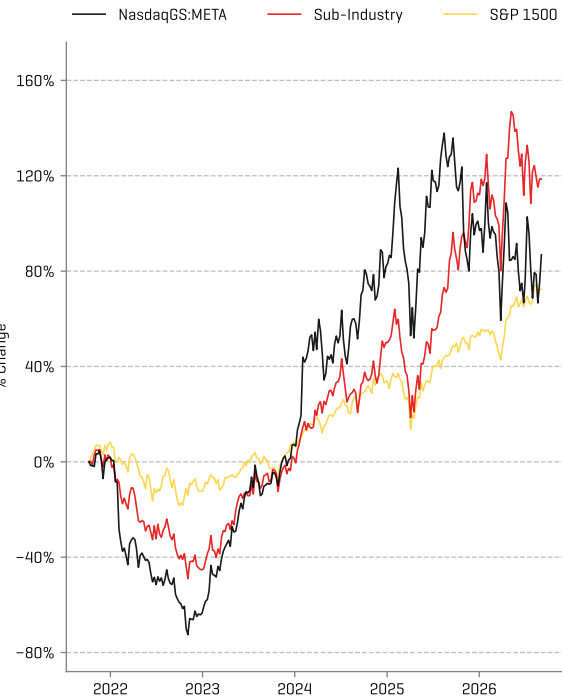
Year-to-date through July 3, Interactive Media & Services rose 6.3% versus a 9.9% increase for the S&P 1500. For full-year 2025, the S&P 1500 Interactive Media & Services sub-industry rose 44.3% versus a 15.5% increase for the broader S&P 1500.

/ Angelo Zino, CFA

Industry Performance

GICS Sector: Communication Services
 Sub-Industry: Interactive Media and Services

Based on S&P 1500 Indexes
 Five-Year market price performance through Sep 05, 2026



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
 All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
 Past performance is not an indication of future performance and should not be relied upon as such.
 Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Interactive Media and Services Peer Group*: Interactive Media and Services

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
Meta Platforms, Inc.	META	NasdaqGS	USD	610.68	1,555,711.0	3.9	-17.2	21.0	611.56	0.3	29.8	22.4
Baidu, Inc.	BIDU	NasdaqGS	USD	95.58	32,419.0	-15.1	-0.8	16.0	N/A	N/A	-1.4	18.0
Bilibili Inc.	BILI	NasdaqGS	USD	15.50	6,487.0	-18.4	-30.4	16.0	N/A	N/A	10.1	18.2
CarGurus, Inc.	CARG	NasdaqGS	USD	34.23	3,049.0	-7.5	-3.2	23.0	34.01	N/A	53.5	N/A
JOYY Inc.	JOYY	NasdaqGS	USD	74.59	3,653.0	-0.4	24.6	NM	76.17	7.2	-25.5	N/A
Match Group, Inc.	MTCH	NasdaqGS	USD	42.43	9,740.0	2.9	12.9	11.0	38.58	1.9	-302.6	103.5
People Incorporated	PPLI	NasdaqGS	USD	38.96	2,901.0	-16.1	7.4	7.0	38.55	N/A	9.0	21.2
Pinterest, Inc.	PINS	NYSE	USD	20.85	11,808.0	-18.5	-43.8	12.0	13.54	N/A	6.5	24.0
RUM Group Inc.	RUM	NasdaqGM	USD	9.04	3,616.0	40.6	25.2	NM	N/A	N/A	-18.4	18.6
Reddit, Inc.	RDDT	NYSE	USD	155.99	30,012.0	-2.5	-30.1	36.0	149.39	N/A	30.7	N/A
Snap Inc.	SNAP	NYSE	USD	5.70	9,640.0	-1.6	-21.4	11.0	N/A	N/A	-15.6	55.0

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
 NA-Not Available; NM-Not Meaningful.
 Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Meta Platforms, Inc.

Analyst Research Notes and other Company News

August 26, 2026

12:02 PM ET... META Settles Landmark Child Safety Case; Removes One Overhang [META 582.88*****]:
META reached an ~\$18B settlement with a coalition of 51 U.S. state AGs, resolving federal allegations that Facebook and Instagram knowingly harmed children's mental health, with the settlement comprising ~\$12.7B (70%) distributed over 10 years and the remaining ~\$5.3B (30%) contingent on rivals YouTube/TikTok implementing comparable youth safety measures [META will accrue a ~\$10B legal expense in Q3]. While the financial impact is material, the resolution removes significant legal overhang, including a more damaging jury verdict [four states sought up to \$1.4T], and provides regulatory clarity for META's core platforms. META will implement daily usage limits for teens, nighttime notification blocks [10pm-7am], enhanced age-assurance measures, and expanded parental controls. We believe the conditional 30% payment structure tied to competitor compliance is a notable provision that could partially offset META's financial burden, and we expect mandated platform changes to broadly reshape youth engagement dynamics. / Angelo Zino, CFA

August 10, 2026

01:32 PM ET... META: Zuckerberg Publishes Open-Source Manifesto, Launches Muse Glimmer [META 593.37*****]:
Mark Zuckerberg published a 6,500-word essay titled "The Future is For Everyone," outlining his vision for broadly distributed AI. He argued that concentrating superintelligence among a handful of players is inherently dangerous, and that wide distribution is the safer and more economically productive path [taking implicit aim at Anthropic/OpenAI without naming them]. Alongside the essay, META unveiled Muse Glimmer, a new open-weight model designed to run on consumer devices rather than cloud infrastructure, and announced a forthcoming open-weight release of Muse Spark 1.2 [its most advanced model to date]. On policy, Zuckerberg called on U.S. regulators to reduce friction for domestic open-source AI, advocated for relaxing distillation rules, and proposed that AI labs share intermediate model training checkpoints with the federal government. We see the announcements as significant, reinforcing META's open-source differentiation/lower pricing structure versus frontier models and expanding the Muse model's monetization potential. / Angelo Zino, CFA

July 30, 2026

12:32 AM ET... CFRA Maintains Strong Buy Opinion on Shares of Meta Platforms, Inc. [META 543.76*****]:
We keep our target at \$750, on a P/E of about 19x our 2027 EPS view, below its long-term historical forward averages. We adjust our 2026 EPS to \$29.58 from \$30.91 and keep our 2027 EPS at \$38.72. Despite the mixed Q2 results, we remain constructive given enticing valuation and new potential monetization streams from personal AI agents, business AI subscriptions, and API access to Muse models. Advantage+ now generate over \$75B in ARR, while Family of Apps "Other revenue" crossed \$1B for the first time in Q2 [+73% Y/Y], an early signal of non-ad monetization traction. We are somewhat disappointed that META did not provide greater monetization potential around a cloud infrastructure business, as it considers a two-pronged approach: AI Model Access as a Service and raw GPU/compute leasing for enterprise AI workloads. Still, we note that META is receiving compute offers at a meaningful premium over cost, and we expect greater revenue clarity over time. Capex boost at low-end of range is not as bad as feared. / Angelo Zino, CFA

July 29, 2026

04:46 PM ET... META: Mixed and Messy Q2 Results [META 593.41*****]:
META posted Q2 revenue of \$60.8B [+28% Y/Y], beating our +25% view and landing at the high end of \$58-61B guidance, with advertising revenue of \$59.4B [+27%] driven by ad impression growth [+14%] and price-per-ad expansion [+12%]. However, EPS of \$6.18 declined 13% Y/Y, well below \$7.40 consensus, as total costs surged 55% from legal charges [\$2.4B], severance costs [\$1.18B], and R&D expansion that compressed operating margins to 31% from 43%. FoA "Other revenue" crossed \$1B for the first time [+73% Y/Y], signaling early non-ad monetization traction from Meta One subscriptions and Business Agents. Management guided Q3 revenue to \$61-64B, with the midpoint below \$63.2B consensus, and raised expense guidance to \$165-169B. We believe the structural R&D surge to 35.6% of revenue reflects META's AI investment commitment, though FCF collapsed to \$784M [-91% Y/Y] as \$31B CapEx consumed operating cash flow,

forcing \$24.9B debt issuance and suspended share repurchases. / Angelo Zino, CFA

July 14, 2026

12:01 PM ET... CFRA Maintains Strong Buy View on Shares of Meta Platforms, Inc. [META 660.08*****]:
We keep our target at \$750 on a P/E of about 19x our 2027 EPS, below historical averages. We adjust our 2026 EPS to \$30.91 from \$29.29 and 2027 to \$38.72 from \$39.39. We forecast Q2 revenue of ~\$60B [+25% Y/Y], at the high end of guidance [\$58B-\$61B], with ad impression growth of 16%-18% and price-per-ad expansion of 8%-10%. We believe that advertising can sustain above-market growth through tougher comps [at least outgrow the industry by 2x] and see positive AI monetization commentary around newly unveiled offerings like Meta One Subscriptions, Business Agents, and Meta Compute that signal credible non-ad monetization. Muse Spark 1.1's paid API [July 10] at \$1.25/\$4.25 per million tokens marks META's first direct model monetization while May 2026 layoffs [~8,000 employees] will support margins. We view Q2 consensus EPS of \$7.49 as attainable. The capex trajectory after \$19.8B spent in Q1 and Zuckerberg's July 2 acknowledgment that AI agent progress has lagged expectations warrant close attention on the call. / Angelo Zino, CFA

July 10, 2026

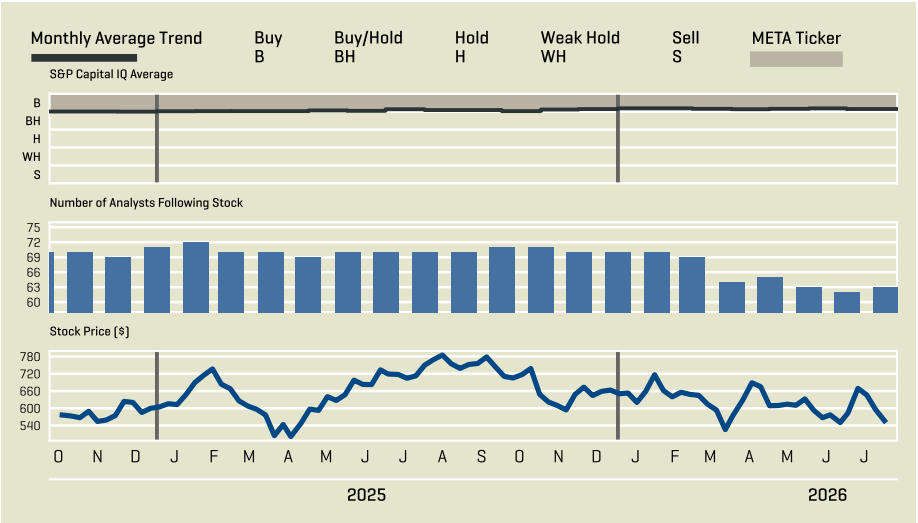
12:55 AM ET... META Fires on Multiple Product Fronts This Week [META 631.48*****]:
META delivered a meaningful cluster of product launches this week. Most notably, Meta Superintelligence Labs announced Muse Spark 1.1 on Thursday, a multimodal agentic reasoning model with a 1-million-token context window, multi-agent orchestration, and enhanced coding and computer-use capabilities. This marks the first time META has charged developers for model access via a paid Meta Model API [\$1.25/\$4.25 per million input/output tokens], putting it in direct competition with OpenAI and Anthropic. Earlier in the week, META also rolled out Muse Image, its first image-generation model from Meta Superintelligence Labs, expanding generative AI tools across its apps. These launches reinforce our view that META's investments are positioning it to begin building a more positive AI monetization story beyond advertising. Combined with the recently unveiled Meta Compute cloud infrastructure initiative, which aims to sell excess GPU capacity to enterprises, META is aggressively layering in new revenue streams to diversify. / Angelo Zino, CFA

July 01, 2026

10:43 AM ET... META: Shift to Cloud Offers Another Leg to AI Monetization Story [META 563.29*****]:
According to a Bloomberg report, META is building a cloud infrastructure business to sell excess AI computing capacity to external customers, competing with AWS, Microsoft Azure, and Google Cloud through its Meta Compute initiative. The effort involves a two-pronged monetization approach: AI Model Access as a Service and raw GPU/compute leasing for enterprise AI workloads. We believe this directly addresses the bear case around META's \$125B-\$145B 2026 capex guidance, transforming excess infrastructure from sunk cost into revenue stream. Mark Zuckerberg previously indicated the company was actively fielding requests for computing access. META trades at 16x 2027 EPS, well below mega-cap peers, and we think it offers the best risk/reward opportunity given multiple AI monetization efforts, including Meta One subscriptions, global Plus plans, and AI Business Agents facilitating 10M weekly conversations. We believe shares are considerably mispriced given monetization potential over the next three to five years. / Angelo Zino, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Analysts Recommendations



Wall Street Consensus Opinion

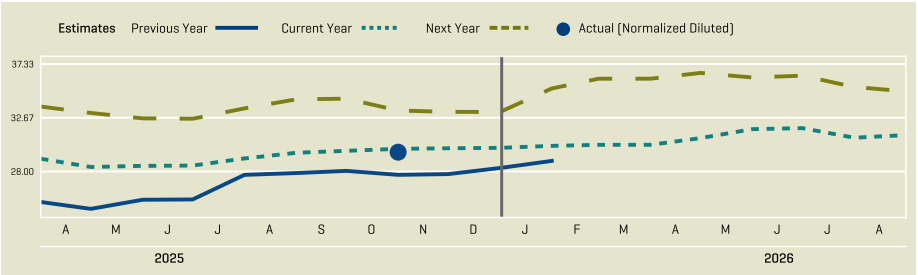
Buy

Wall Street Consensus vs. Performance

For fiscal year 2026, analysts estimate that META will earn USD 31.16. For fiscal year 2027, analysts estimate that META's earnings per share will grow by 12.2% to USD 34.96.

	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	47	75	47	50
Buy/Hold	8	13	8	8
Hold	7	11	7	6
Weak hold	0	0	0	0
Sell	0	0	0	0
No Opinion	1	2	1	0
Total	63	100	63	64

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2027	34.96	40.31	31.69	15	17.47
2026	31.16	32.83	28.71	16	19.60
2027 vs. 2026	▲ 12%	▲ 23%	▲ 10%	▼ -6%	▼ -11%
Q3'27	8.62	9.09	7.95	5	70.84
Q3'26	6.97	7.64	6.31	12	87.57
Q3'27 vs. Q3'26	▲ 24%	▲ 19%	▲ 26%	▼ -58%	▼ -19%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Meta Platforms, Inc.**Glossary****STARS**

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
 CAPEX - Capital Expenditures
 CY - Calendar Year
 DCF - Discounted Cash Flow
 DDM - Dividend Discount Model
 EBIT - Earnings Before Interest and Taxes
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
 EPS - Earnings Per Share
 EV - Enterprise Value
 FCF - Free Cash Flow
 FFO - Funds From Operations
 FY - Fiscal Year
 P/E - Price/Earnings
 P/NAV - Price to Net Asset Value
 PEG Ratio - P/E-to-Growth Ratio
 PV - Present Value
 R&D - Research & Development
 ROCE - Return on Capital Employed
 ROE Return on Equity
 ROI - Return on Investment
 ROIC - Return on Invested Capital
 ROA - Return on Assets
 SG&A - Selling, General & Administrative Expenses
 SOTP - Sum-of-The-Parts
 WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:**★★★★★ 5-STARS (Strong Buy):**

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Meta Platforms, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of June 30, 2026

Ranking	North America	Europe	Asia	Global
Buy	44.8%	47.5%	50.5%	46.7%
Hold	42.1%	41.1%	44.5%	42.4%
Sell	13.1%	11.3%	5.0%	10.9%
Total	100.0%	100.0%	100.0%	100.0%

Analyst Certification:

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